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Interestingly enough, although I consider myself to be primarily in the quantitative school (and as I write this no one has come back from recess—I may be the only one left in the class), the really sensational ideas I have had over the years have been heavily weighted toward the qualitative side where I have had a “high-probability insight.” This is what causes the cash register to sing. However, it is an infrequent occurrence, as insights usually are, and, of course, no insight is required on the quantitative side—the figures should hit you over the head with a baseball bat. So the really big money tends to be made by investors who are right on qualitative decisions, but, at least in my opinion, the more sure money tends to be made on the obvious quantitative decisions.

The force of Munger’s logic, it seemed, had yielded results. By 1969, Buffett would describe himself in an interview with *Forbes Magazine* as “15 percent Phil Fisher, and 85 percent Benjamin Graham.”²² Buffett now regards *Common Stocks and Uncommon Profits* as a “book that ranks behind only *The Intelligent Investor* and the 1940 edition of *Security Analysis* in the all-time-best list for the serious investor.”²³ Says Buffett, “Charlie shoved me on the direction of not just buying bargains, as Ben Graham had taught me. This was the real impact he had on me. It took a powerful force to move me on from Graham’s limiting view. It was the power of Charlie’s mind.”²⁴ With the philosophical leap made, Buffett would take the final step in his evolution as a value investor with the 1972 acquisition of See’s Candies.

SEE’S CANDIES

When Buffett received the call that See’s Candies was for sale, his immediate response was, “Call Charlie.”²⁵ Munger had all kinds of scuttlebutt on See’s, and was effusive when he spoke to Buffett, “See’s has a name that no one can get near in California. . . . We can get it at a reasonable price. It’s impossible to compete with that brand without spending all kinds of money.”²⁶ Buffett took a look at the numbers, and agreed that he “would be willing to buy See’s at a price.”²⁷ But the price offered, it turned out, was very high. Harry See wanted \$30 million for a company that owned just \$8 million in assets. The \$22 million more than the hard assets were worth bought the See’s brand, the trademarks, the goodwill, and a business that would earn just under \$2 million after-tax in 1971. Buffett balked. He was, after all, still only 15 percent Fisher, and See was asking an extraordinarily